

14 September 2026

Taiwan Technology

Reuters 2368.TW
Bloomberg 2368 TT

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Taiwan Wtd @ 46,184.9

12M hi/lo NT\$1,495.00/399.00

12M price target NT\$2,000.00
±% potential +96%

Shares in issue 491.8m
Free float (est.) 58.3%

Market cap US\$17bn
3M ADV US\$257.7m

Foreign s'holding 28.9%

Major shareholders
Yang Chang-Chi 19.7%
New Labor Pension 8.7%

SinoPac analysts:
Kevin SW Chen, SinoPac
Vanessa Huang, SinoPac

Stock performance (%)



HDI concerns easing

New capacity and price hikes boosting earnings visibility for 2027-28

We are increasingly confident in Gold Circuit's transition towards higher-layer-count HDI boards, supported by meaningful investments in technology, talent, and new capacity. The planned capacity ramp aligns well with the next-generation ASIC schedules of two major CSP customers, while potential layer-count increase from 26 layers for Trainium3 to 34 layers for Trainium4 should drive meaningful content growth. Meanwhile, PCB price hikes and improving cost pass-through should support a sequential GM recovery from 3Q26. We raise our 2027/28 EPS forecasts by 1%/9% and lift our TP from NT\$1,955 to NT\$2,000 while reiterating our High Conviction Outperform rating.

Less concerned about the HDI transition

While the market remains concerned about Gold Circuit's HDI capabilities, we believe the company has recruited experienced talent and invested meaningfully in HDI technology to support future ASIC demand. The second Thailand plant and new capacity at the first Suzhou plant are scheduled to contribute from 2H27, followed by the second Suzhou plant in 1H28, with all three expansions primarily dedicated to HDI production. Importantly, the capacity ramp should align well with the next-generation ASIC schedules of two major CSP customers. We expect Gold Circuit to maintain its leading position in AWS Trainium4 and benefit from meaningful content growth, driven by an increase in PCB layer count from 26 layers for Trainium3 to 34 layers for Trainium4.

Price hikes underway

For AI accelerator PCBs, we believe Gold Circuit should gradually pass rising CCL costs through to customers. Our checks suggest that non-AI PCB products are being quoted at 3-4x prior price levels, with lead-times extending to at least four months at leading PCB vendors. This indicates a tightening industry supply-demand environment and suggests that the GM weakness seen in 2Q26 should not persist in the coming quarters. We forecast GM to improve sequentially to 36.7%/36.8% in 3Q26/4Q26.

Earnings revisions and valuation

We keep 2026SP EPS largely unchanged but raise our 2027/28 forecasts by 1%/9% to reflect higher production value contributed by the new plants and increasing HDI content. Accordingly, we raise our TP from NT\$1,955 to NT\$2,000, still based on 30x 2H27-1H28SP PE, and reiterate our High Conviction Outperform rating.

Financials

Year to 31 December	24A	25A	26SP	27SP	28SP
Revenue (NT\$m)	38,952	60,004	106,201	142,548	181,560
Rev forecast change (%)	-	-	(0.6)	(0.9)	5.2
Net profit (NT\$m)	5,616	9,607	20,810	29,988	39,306
NP forecast change (%)	-	-	0.5	1.4	8.7
EPS (NT\$)	11.54	19.48	40.76	58.74	76.99
SP/consensus (8) (EPS%)	-	-	99	89	81
EPS growth (% YoY)	59.1	68.9	109.2	44.1	31.1
PE (x)	88.4	52.4	25.0	17.4	13.2
Dividend yield (%)	0.5	0.7	1.4	2.0	2.6
ROE (%)	30.7	36.3	50.4	48.8	45.1
Net debt/equity (%)	(9.1)	(0.4)	15.6	16.2	5.4

Source: SinoPac

Change in target price

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Financials at a glance

Year to 31 December	2024A	2025A	2026SP	(% YoY)	2027SP	2028SP
Profit & Loss (NT\$m)						
Revenue	38,952	60,004	106,201	77	142,548	181,560
Cogs (ex-D&A)	(26,467)	(40,289)	(66,411)		(88,081)	(111,693)
Gross Profit (ex-D&A)	12,485	19,715	39,789	101.8	54,467	69,867
SG&A and other expenses	(3,329)	(5,640)	(8,855)		(10,987)	(13,277)
Op Ebitda	9,156	14,075	30,934	119.8	43,481	56,590
Depreciation/amortisation	(1,089)	(32)	(1,674)		(1,137)	(1,187)
Op Ebit	8,067	14,043	29,261	108.4	42,343	55,403
Net interest inc/(exp)	78	55	137	148	139	137
Other non-Op items	345	75	(328)		(207)	(128)
Profit before tax	8,490	14,173	29,070	105.1	42,275	55,412
Taxation	(2,875)	(4,567)	(8,260)		(12,288)	(16,106)
Profit after tax	5,616	9,607	20,810	116.6	29,988	39,306
Minority interest	0	0	0		0	0
Net profit	5,616	9,607	20,810	116.6	29,988	39,306
Adjusted profit	5,616	9,607	20,810	116.6	29,988	39,306
Cashflow (NT\$m)						
Operating profit	8,067	14,043	29,261	108.4	42,343	55,403
Depreciation/amortisation	1,089	32	1,674	5,151.5	1,137	1,187
Working capital changes	(1,202)	(8,346)	(11,587)		(12,116)	(12,266)
Other items	(2,328)	(3,470)	(8,451)		(12,356)	(16,097)
Net operating cashflow	5,625	2,259	10,897	382.4	19,009	28,228
Capital expenditure	(5,131)	(6,733)	(15,833)		(16,000)	(12,000)
Free cashflow	495	(4,475)	(4,936)		3,009	16,228
M&A/Others	(74)	(300)	0		0	0
Net investing cashflow	(5,205)	(7,033)	(15,833)		(16,000)	(12,000)
Increase in loans	2,044	16,242	-		-	-
Dividends	(1,703)	(2,920)	(3,362)		(7,284)	(10,496)
Net equity raised/other	(18)	(81)	0		0	0
Net financing cashflow	323	13,241	(3,362)		(7,284)	(10,496)
Incr/(decr) in net cash	744	8,467	(8,298)		(4,274)	5,732
Exch rate movements	700	463	463	0	463	463
Balance sheet (NT\$m)						
Cash & equivalents	9,185	18,114	10,279	(43.3)	6,468	12,663
Accounts receivable	13,743	27,310	35,400	29.6	47,516	60,520
Other current assets	8,076	10,292	17,566	70.7	22,849	28,765
Fixed assets	11,635	17,840	31,481	76.5	46,693	57,921
Investments	1,157	1,218	1,313	7.8	1,314	1,315
Intangible assets	46	78	78	0	78	78
Other non-current assets	743	895	864	(3.4)	880	884
Total assets	44,584	75,746	96,981	28	125,798	162,145
Short-term debt	2,722	5,937	6,346	6.9	6,518	6,267
Accounts payable	8,268	11,029	17,021	54.3	22,304	28,220
Other current liabs	5,979	10,409	8,194	(21.3)	8,194	8,933
Long-term debt/CBs	4,531	12,054	11,875	(1.5)	11,875	11,875
Provisions/other LT liabs	1,771	2,836	2,699	(4.9)	3,357	4,490
Shareholder funds	20,286	32,572	50,073	53.7	72,777	101,588
Minorities/other equity	1,026	910	772	(15.1)	772	772
Total liabs & equity	44,584	75,746	96,981	28	125,798	162,145
Ratio analysis						
Revenue growth (% YoY)	29.6	54.0	77.0		34.2	27.4
Ebitda margin (%)	23.5	23.5	29.1		30.5	31.2
Ebit margin (%)	20.7	23.4	27.6		29.7	30.5
Net profit growth (%)	59.1	71.1	116.6		44.1	31.1
Op cashflow growth (% YoY)	5.8	(59.8)	382.4		74.4	48.5
Capex/sales (%)	13.2	11.2	14.9		11.2	6.6
Net debt/equity (%)	(9.1)	(0.4)	15.6		16.2	5.4
Net debt/Ebitda (x)	-	-	0.3		0.3	0.1
ROE (%)	30.7	36.3	50.4		48.8	45.1
ROIC (%)	31.2	34.6	44.0		40.7	39.6

Source: SinoPac

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Figure 1

Forecast revisions

(NT\$m)	2026SP			2027SP			2028SP		
	old	new	% ch	old	new	% ch	old	new	% ch
Revenue	106,896	106,201	(1%)	143,835	142,548	(1%)	172,528	181,560	5%
Gross profit	38,105	38,116	0%	52,840	53,330	1%	63,692	68,680	8%
Opex	8,914	8,855	(1%)	11,083	10,987	(1%)	12,630	13,277	5%
Operating profit	29,191	29,261	0%	41,756	42,343	1%	51,062	55,403	9%
Pretax profit	28,964	29,070	0%	41,743	42,275	1%	51,047	55,412	9%
Tax expense	8,257	8,260	0%	12,182	12,288	1%	14,898	16,106	8%
Net profit	20,707	20,810	0%	29,561	29,988	1%	36,149	39,306	9%
EPS (NT\$)	40.61	40.76	0%	57.98	58.74	1%	70.90	76.99	9%
Margin									
Gross margin	35.6%	35.9%		36.7%	37.4%		36.9%	37.8%	
Operating margin	27.3%	27.6%		29.0%	29.7%		29.6%	30.5%	
Tax rate	28.5%	28.4%		29.2%	29.1%		29.2%	29.1%	
Net margin	19.4%	19.6%		20.6%	21.0%		21.0%	21.6%	

Source: SinoPac

Figure 2

Quarterly P&L

(NT\$m)	1Q26	2Q26	3Q26SP	4Q26SP	1Q27SP	2Q27SP	3Q27SP	4Q27SP	2025	2026SP	2027SP	2028SP
Sales	19,313	24,279	30,855	31,754	32,842	32,993	38,357	38,357	60,004	106,201	142,548	181,560
Gross profit	6,722	8,413	11,309	11,671	12,193	12,303	14,404	14,431	19,683	38,116	53,330	68,680
Opex	1,538	1,996	2,623	2,699	2,759	2,474	2,877	2,877	5,640	8,855	10,987	13,277
Operating profit	5,185	6,418	8,686	8,972	9,434	9,828	11,527	11,554	14,043	29,261	42,343	55,403
Non-OP	(97)	(118)	9	15	(16)	(12)	(21)	(19)	130	(191)	(68)	9
Pretax profit	5,088	6,299	8,696	8,987	9,418	9,816	11,506	11,535	14,173	29,070	42,275	55,412
Net profit	3,484	4,783	6,168	6,375	6,681	6,963	8,162	8,182	9,607	20,810	29,988	39,306
EPS (NT\$)	7.16	9.83	12.08	12.49	13.09	13.64	15.99	16.03	19.48	40.76	58.74	76.99
Growth												
Sales QoQ	18%	26%	27%	3%	3%	0%	16%	0%				
Sales YoY	60%	75%	75%	94%	70%	36%	24%	21%	54%	77%	34%	27%
EPS QoQ	19%	37%	23%	3%	5%	4%	17%	0%				
EPS YoY	99%	182%	82%	107%	83%	39%	32%	28%	69%	109%	44%	31%
Margin												
Gross margin	34.8%	34.7%	36.7%	36.8%	37.1%	37.3%	37.6%	37.6%	32.8%	35.9%	37.4%	37.8%
Opex	8.0%	8.2%	8.5%	8.5%	8.4%	7.5%	7.5%	7.5%	9.4%	8.3%	7.7%	7.3%
OP margin	26.8%	26.4%	28.2%	28.3%	28.7%	29.8%	30.1%	30.1%	23.4%	27.6%	29.7%	30.5%
Non-OP	(0.5%)	(0.5%)	0.0%	0.0%	0.0%	0.0%	(0.1%)	0.0%	0.2%	(0.2%)	0.0%	0.0%
Net margin	18.0%	19.7%	20.0%	20.1%	20.3%	21.1%	21.3%	21.3%	16.0%	19.6%	21.0%	21.6%

Source: SinoPac



Figure 3
Sales mix and GM assumptions

Sales (NT\$m)	2025	2026SP	2027SP	2028SP
Networking	10,022	18,085	22,858	31,634
Server	43,157	80,165	110,186	139,782
NB	4,414	5,415	6,584	7,068
Others	2,412	2,535	2,919	3,076
Total	60,004	106,201	142,548	181,560
YoY (%)	2025	2026SP	2027SP	2028SP
Networking	72%	80%	26%	38%
Server	61%	86%	37%	27%
NB	19%	23%	22%	7%
Others	(10%)	5%	15%	5%
Total	54%	77%	34%	27%
Sales mix (%)	2025	2026SP	2027SP	2028SP
Networking	17%	17%	16%	17%
Server	72%	75%	77%	77%
NB	7%	5%	5%	4%
Others	4%	2%	2%	2%
Total	100%	100%	100%	100%
Gross margin (%)	2025	2026SP	2027SP	2028SP
Networking	34%	36%	37%	38%
Server	35%	38%	39%	40%
NB	12%	11%	12%	12%
Others	24%	22%	22%	22%
Total	33%	36%	37%	38%

Source: SinoPac

Figure 4
Forward PE


Source: SinoPac

Figure 5
Forward PB


Source: SinoPac

Figure 6
Target price change

	Target PE (x)	Valuation period	12-month rolling EPS (NT\$)	Target Price (NT\$)
Old	30	2H27-1H28	65.2	1,955
New	30	2H27-1H28	66.7	2,000

Source: SinoPac

Investment thesis

We expect Gold Circuit to benefit from the strong CCL/PCB material upgrade trend, rising shipments of AI servers and continued spec upgrades in CPU servers, which require higher PCB layer counts. The upgrade in networking towards 800G should also lead to improving margins for the company.

Catalysts

1) Accelerating server shipments driven by US CSPs and enterprise customers; 2) server content value growth; 3) a stronger-than-expected networking demand recovery; 4) a notebook demand recovery.

Valuation details

We value all of our coverage in the PCB/CCL space on PE as it better reflects margins and earnings outlooks, which we believe the market will mainly focus on. We use a target PE multiple of 30x, in line with the downstream server sector average after the recent rerating driven by AI. Given GCE's higher-than-peer revenue exposure to cloud servers and switches, its leading market position, and our expectation of robust AI/ASIC server shipments with computing server demand to gradually recover, we think 30x PE is justified as server/PC ODM suppliers have all rerated to the 15-30x range on the back of the booming AI demand. And as GCE also generates a similar number of sales from server and AI, it will likely enjoy strong growth (better content growth from server and switch) and better returns (less competition) than assemblers in the mid-to-long term.

Investment risks

Downside risks: (1) order adjustment as a result of chip shortages or supply chain disruption; (2) weaker-than-expected cloud/datacentre Capex demand; (3) slower adoption or delayed launch of Intel's Eagle Stream and AMD's Genoa platforms; (4) further raw material price hikes, and (5) more severe competition across the industry.

Detailed financials

Profit & Loss (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Revenue	32,785	30,044	38,952	60,004	106,201	142,548	181,560
Cogs (ex-D&A)	(23,183)	(21,353)	(26,467)	(40,289)	(66,411)	(88,081)	(111,693)
Gross Profit (ex-D&A)	9,602	8,691	12,485	19,715	39,789	54,467	69,867
Research & development costs	(718)	(803)	(974)	(1,256)	(2,101)	(2,747)	(3,319)
Selling & marketing expenses	(964)	(880)	(1,120)	(2,584)	(3,823)	(3,845)	(4,647)
Other SG&A	(1,009)	(905)	(1,235)	(1,799)	(2,931)	(4,395)	(5,311)
Other Op Expenses ex-D&A	-	-	-	0	-	-	-
Op Ebitda	6,911	6,103	9,156	14,075	30,934	43,481	56,590
Depreciation/amortisation	(874)	(967)	(1,089)	(32)	(1,674)	(1,137)	(1,187)
Op Ebit	6,037	5,136	8,067	14,043	29,261	42,343	55,403
Interest income	63	196	246	273	444	438	436
Interest expense	(90)	(118)	(168)	(218)	(307)	(299)	(299)
Net interest inc/(exp)	(27)	78	78	55	137	139	137
Associates/investments	(437)	(195)	(300)	(13)	(47)	0	0
Forex/other income	727	81	423	(199)	(390)	(207)	(208)
Asset sales/other cash items	-	-	-	-	-	-	-
Provisions/other non-cash items	89	118	223	287	110	0	80
Asset revaluation/Exceptional items	-	-	-	-	-	-	-
Profit before tax	6,388	5,218	8,490	14,173	29,070	42,275	55,412
Taxation	(1,820)	(1,689)	(2,875)	(4,567)	(8,260)	(12,288)	(16,106)
Profit after tax	4,568	3,529	5,616	9,607	20,810	29,988	39,306
Preference dividends	-	-	-	-	-	-	-
Profit for period	4,568	3,529	5,616	9,607	20,810	29,988	39,306
Minority interest	0	0	0	0	0	0	0
Net profit	4,568	3,529	5,616	9,607	20,810	29,988	39,306
Extraordinaries/others	0	0	0	0	0	0	0
Profit avail to ordinary shares	4,568	3,529	5,616	9,607	20,810	29,988	39,306
Dividends	(1,190)	(1,703)	(1,703)	(2,920)	(3,362)	(7,284)	(10,496)
Retained profit	3,378	1,825	3,912	6,686	17,448	22,704	28,811
Adjusted profit	4,568	3,529	5,616	9,607	20,810	29,988	39,306
EPS (NT\$)	8.9	7.3	11.5	19.5	40.8	58.7	77.0
Adj EPS [pre excep] (NT\$)	8.9	7.3	11.5	19.5	40.8	58.7	77.0
Core EPS (NT\$)	8.9	7.3	11.5	19.5	40.8	58.7	77.0
DPS (NT\$)	3.5	3.5	4.6	6.8	14.3	20.6	26.9

Profit & loss ratios

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Growth (%)							
Revenue growth (% YoY)	23.2	(8.4)	29.6	54.0	77.0	34.2	27.4
Ebitda growth (% YoY)	41.1	(11.7)	50.0	53.7	119.8	40.6	30.2
Ebit growth (% YoY)	46.4	(14.9)	57.1	74.1	108.4	44.7	30.8
Net profit growth (%)	56.1	(22.8)	59.1	71.1	116.6	44.1	31.1
EPS growth (% YoY)	63.7	(18.2)	59.1	68.9	109.2	44.1	31.1
Adj EPS growth (% YoY)	63.7	(18.2)	59.1	68.9	109.2	44.1	31.1
DPS growth (% YoY)	59.1	0.0	31.9	47.8	109.2	44.1	31.1
Core EPS growth (% YoY)	63.7	(18.2)	59.1	68.9	109.2	44.1	31.1
Margins (%)							
Gross margin (%)	29.3	28.9	32.1	32.9	37.5	38.2	38.5
Ebitda margin (%)	21.1	20.3	23.5	23.5	29.1	30.5	31.2
Ebit margin (%)	18.4	17.1	20.7	23.4	27.6	29.7	30.5
Net profit margin (%)	13.9	11.7	14.4	16.0	19.6	21.0	21.6
Core profit margin	13.9	11.7	14.4	16.0	19.6	21.0	21.6
Op cashflow margin	13.6	17.7	14.4	3.8	10.3	13.3	15.5
Returns (%)							
ROE (%)	37.4	23.5	30.7	36.3	50.4	48.8	45.1
ROA (%)	15.7	11.0	13.7	15.8	24.3	27.0	27.3
ROIC (%)	34.3	25.0	31.2	34.6	44.0	40.7	39.6
ROCE (%)	47.5	37.3	49.2	54.4	64.4	59.2	57.7
Other key ratios (%)							
Effective tax rate (%)	28.5	32.4	33.9	32.2	28.4	29.1	29.1
Ebitda/net int exp (x)	251.4	-	-	-	-	-	-
Exceptional or extraord. inc/PBT (%)	-	-	-	-	-	-	-
Dividend payout (%)	39.5	48.3	40.0	35.0	35.0	35.0	35.0

Source: SinoPac

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Balance sheet (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Cash & equivalents	5,974	7,741	9,185	18,114	10,279	6,468	12,663
Accounts receivable	10,825	10,844	13,743	27,310	35,400	47,516	60,520
Inventories	5,616	5,970	7,900	9,747	17,021	22,304	28,220
Other current assets	46	83	176	545	545	545	545
Current assets	22,461	24,638	31,004	55,716	63,245	76,833	101,948
Fixed assets	6,294	6,945	11,635	17,840	31,481	46,693	57,921
Investments	798	940	1,157	1,218	1,313	1,314	1,315
Goodwill	0	0	0	0	0	0	0
Other intangible assets	43	58	46	78	78	78	78
Other non-current assets	445	521	743	895	864	880	884
Total assets	30,041	33,101	44,584	75,746	96,981	125,798	162,145
Short term loans/OD	2,188	217	2,722	5,937	6,346	6,518	6,267
Accounts payable	5,661	6,021	8,268	11,029	17,021	22,304	28,220
Accrued expenses	-	-	-	-	-	-	-
Taxes payable	0	0	0	0	0	0	0
Other current liabs	4,008	4,237	5,979	10,409	8,194	8,194	8,933
Current liabilities	11,857	10,475	16,969	27,375	31,562	37,017	43,420
Long-term debt/leases/other	3,340	4,859	4,531	12,054	11,875	11,875	11,875
Convertible bonds	-	-	-	-	-	-	-
Provisions/other LT liabs	520	936	1,771	2,836	2,699	3,357	4,490
Total liabilities	15,717	16,270	23,272	42,265	46,135	52,248	59,785
Share capital	4,918	4,918	4,918	5,051	5,105	5,105	5,105
Retained earnings	7,063	8,374	11,954	18,039	33,406	53,111	77,991
Reserves/others	1,683	3,045	3,413	9,481	11,562	14,561	18,492
Shareholder funds	13,664	16,337	20,286	32,572	50,073	72,777	101,588
Minorities/other equity	660	494	1,026	910	772	772	772
Total equity	14,324	16,831	21,312	33,481	50,846	73,550	102,361
Total liabs & equity	30,041	33,101	44,584	75,746	96,981	125,798	162,145
Total debt	5,528	5,075	7,253	17,991	18,221	18,393	18,142
Net debt	(446)	(2,666)	(1,931)	(124)	7,942	11,925	5,479
Adjusted EV	500,946	498,328	495,898	518,226	526,595	530,228	523,366
BVPS (NT\$)	27.8	33.2	41.2	63.8	98.1	142.6	199.0

Balance sheet ratios

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Key ratios							
Current ratio (x)	1.9	2.4	1.8	2.0	2.0	2.1	2.3
Growth in total assets (% YoY)	20.3	10.2	34.7	69.9	28.0	29.7	28.9
Growth in capital employed (% YoY)	15.5	2.0	36.1	73.1	77.7	45.9	26.4
Net debt to operating cashflow (x)	-	-	-	-	0.7	0.6	0.2
Gross debt to operating cashflow (x)	1.2	1.0	1.3	8.0	1.7	1.0	0.6
Gross debt to Ebitda (x)	0.8	0.8	0.8	1.3	0.6	0.4	0.3
Net debt/Ebitda (x)	-	-	-	-	0.3	0.3	0.1
Gearing							
Net debt/equity (%)	(3.1)	(15.8)	(9.1)	(0.4)	15.6	16.2	5.4
Gross debt/equity (%)	38.6	30.2	34.0	53.7	35.8	25.0	17.7
Interest cover (x)	67.5	45.2	49.4	65.6	96.6	142.9	186.9
Debt cover (x)	0.8	1.0	0.8	0.1	0.6	1.0	1.6
Net cash per share (NT\$)	0.9	5.5	4.0	0.3	(15.6)	(23.4)	(10.7)
Working capital analysis							
Inventory days	79.2	94.7	91.9	79.9	71.8	80.4	81.7
Debtor days	111.6	131.6	115.2	124.9	107.8	106.2	108.6
Creditor days	84.7	95.5	94.6	87.3	75.2	80.4	81.7
Working capital/Sales (%)	20.8	22.1	19.4	26.9	26.1	28.0	28.7
Capital employed analysis							
Sales/Capital employed (%)	240.8	216.3	206.0	183.3	182.6	168.0	169.3
EV/Capital employed (%)	3,679.8	3,587.6	2,622.2	1,583.1	905.3	624.9	488.1
Working capital/Capital employed (%)	50.1	47.8	40.0	49.4	47.7	47.0	48.6
Fixed capital/Capital employed (%)	46.2	50.0	61.5	54.5	54.1	55.0	54.0
Other ratios (%)							
PB (x)	36.7	30.7	24.7	16.0	10.4	7.2	5.1
EV/Ebitda (x)	72.5	81.7	54.2	36.8	17.0	12.2	9.2
EV/OCF (x)	112.7	93.7	88.2	229.4	48.3	27.9	18.5
EV/FCF (x)	162.5	134.9	1,002.7	(115.8)	(106.7)	176.2	32.3
EV/Sales (x)	15.3	16.6	12.7	8.6	5.0	3.7	2.9
Capex/depreciation (%)	158.5	172.5	488.0	0.0	956.1	1,407.1	1,010.9

Source: SinoPac

Cashflow (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Operating profit	6,037	5,136	8,067	14,043	29,261	42,343	55,403
Operating adjustments	(1,469)	(1,607)	(2,451)	(4,437)	(8,451)	(12,356)	(16,097)
Depreciation/amortisation	874	967	1,089	32	1,674	1,137	1,187
Working capital changes	(1,402)	207	(1,202)	(8,346)	(11,587)	(12,116)	(12,266)
Interest paid / other financial expenses	0	0	0	0	0	0	0
Tax paid	-	-	-	32	-	-	-
Other non-cash operating items	403	615	123	935	0	0	0
Net operating cashflow	4,444	5,317	5,625	2,259	10,897	19,009	28,228
Capital expenditure	(1,360)	(1,623)	(5,131)	(6,733)	(15,833)	(16,000)	(12,000)
Free cashflow	3,084	3,694	495	(4,475)	(4,936)	3,009	16,228
Acq/inv/disposals	(13)	(12)	(17)	(262)	-	-	-
Int, invt & associate div	17	(27)	(56)	(38)	-	-	-
Net investing cashflow	(1,357)	(1,662)	(5,205)	(7,033)	(15,833)	(16,000)	(12,000)
Increase in loans	989	485	2,044	16,242	-	-	-
Dividends	(1,190)	(1,703)	(1,703)	(2,920)	(3,362)	(7,284)	(10,496)
Net equity raised/others	(615)	(118)	(18)	(81)	0	0	0
Net financing cashflow	(816)	(1,337)	323	13,241	(3,362)	(7,284)	(10,496)
Incr/(decr) in net cash	2,271	2,319	744	8,467	(8,298)	(4,274)	5,732
Exch rate movements	(114)	(552)	700	463	463	463	463
Opening cash	3,817	5,974	7,741	9,185	18,114	10,279	6,468
Closing cash	5,974	7,741	9,185	18,114	10,279	6,468	12,663
OCF PS (NT\$)	8.6	10.9	11.6	4.6	21.3	37.2	55.3
FCF PS (NT\$)	6.0	7.6	1.0	(9.1)	(9.7)	5.9	31.8

Cashflow ratio analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Growth (%)							
Op cashflow growth (% YoY)	86.0	19.7	5.8	(59.8)	382.4	74.4	48.5
FCF growth (% YoY)	97.2	19.8	(86.6)	(1,004.8)	-	-	439.3
Capex growth (%)	64.7	19.3	216.2	31.2	135.1	1.1	(25.0)
Other key ratios (%)							
Capex/sales (%)	4.1	5.4	13.2	11.2	14.9	11.2	6.6
Capex/op cashflow (%)	30.6	30.5	91.2	298.1	145.3	84.2	42.5
Operating cashflow payout ratio (%)	40.6	32.0	39.9	148.9	66.8	55.2	48.7
Cashflow payout ratio (%)	26.8	32.0	30.3	129.3	30.9	38.3	37.2
Free cashflow payout ratio (%)	38.6	46.1	344.4	-	-	242.1	64.7

DuPont analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Ebit margin (%)	18.4	17.1	20.7	23.4	27.6	29.7	30.5
Asset turnover (x)	1.2	1.0	1.0	1.0	1.2	1.3	1.3
Interest burden (x)	1.1	1.0	1.1	1.0	1.0	1.0	1.0
Tax burden (x)	0.7	0.7	0.7	0.7	0.7	0.7	0.7
Return on assets (%)	15.7	11.0	13.7	15.8	24.3	27.0	27.3
Leverage (x)	2.1	2.0	2.0	2.2	2.0	1.8	1.6
ROE (%)	37.4	23.5	30.7	36.3	50.4	48.8	45.1

EVA® analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Ebit adj for tax	4,316	3,473	5,336	9,518	20,947	30,036	39,300
Average invested capital	12,588	13,881	17,079	27,486	47,575	73,845	99,266
ROIC (%)	34.3	25.0	31.2	34.6	44.0	40.7	39.6
Cost of equity (%)	6.9	6.9	6.9	6.9	6.9	6.9	6.9
Cost of debt (adj for tax)	1.9	1.8	1.7	1.8	1.9	1.8	1.8
Weighted average cost of capital (%)	5.5	5.5	5.5	5.5	5.5	5.5	5.5
EVA/IC (%)	28.8	19.5	25.8	29.2	38.5	35.2	34.1
EVA (NT\$m)	3,624	2,714	4,403	8,014	18,330	25,978	33,844

Source: SinoPac



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AWS (N-R)

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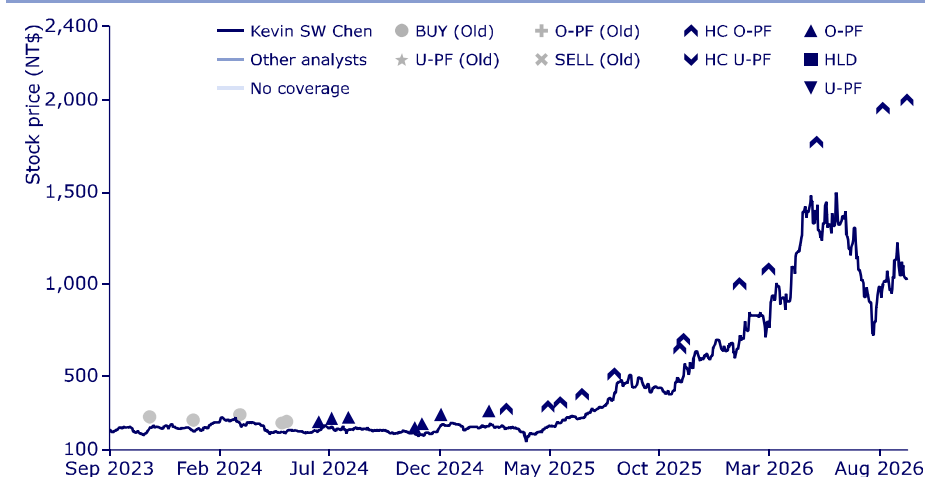
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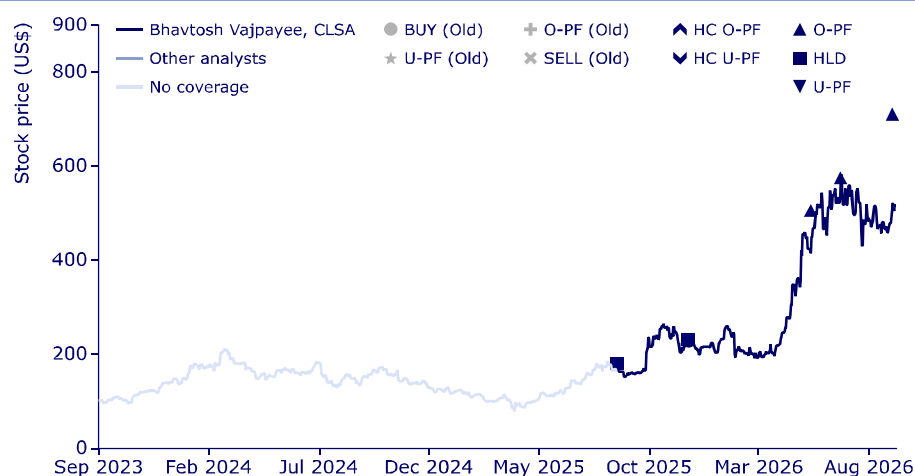
Date	Rec	Target	Date	Rec	Target
LATEST	HC O-PF	2,000.00	17 Feb 2025	O-PF	310.00
12 Aug 2026	HC O-PF	1,955.00	13 Dec 2024	O-PF	290.00
13 May 2026	HC O-PF	1,770.00	17 Nov 2024	O-PF	240.00
08 Mar 2026	HC O-PF	1,080.00	07 Nov 2024	O-PF	220.00
27 Jan 2026	HC O-PF	1,000.00	08 Aug 2024	O-PF	275.00
11 Nov 2025	HC O-PF	700.00	16 Jul 2024	O-PF	270.00
06 Nov 2025	HC O-PF	650.00	28 Jun 2024	O-PF	250.00
08 Aug 2025	HC O-PF	510.00	15 May 2024	BUY	250.00
25 Jun 2025	HC O-PF	400.00	09 May 2024	BUY	242.00
26 May 2025	HC O-PF	355.00	12 Mar 2024	BUY	288.00
09 May 2025	HC O-PF	335.00	08 Jan 2024	BUY	258.00
13 Mar 2025	HC O-PF	320.00	09 Nov 2023	BUY	275.00

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA/SinoPac investment rankings below for details. Source: CLSA, SinoPac

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Recommendation history of Advanced Micro Devices Inc AMD US



Date	Rec	Target	Date	Rec	Target
08 Sep 2026	O-PF	710.00	01 Dec 2025	HLD	230.00
29 Jun 2026	O-PF	575.00	26 Aug 2025	HLD	180.00
19 May 2026	O-PF	505.00			

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA investment rankings below for details. Source: CLSA

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to be negative. For relative performance, we benchmarked the 12-month total forecast return (including dividends) for the stock against the 12-month forecast return (including dividends) for the market on which the stock trades.

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